IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.31/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
IMS HEALTH TECHNOLOGY SOLUTIONS INDIA PRIVATE LIMITED
AND
IMS HEALTH ANALYTICS SERVICES PRIVATE LIMITED
Order delivered on: 2.08.2018

Coram: Hon'ble Shri Rajeshwara Rao Vittalana, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) Mr.Saji.P.John
Advocate
Unit No.1002, 10th Floor,
#30, Prestige Meridian II,
Bengaluru-560001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 1.6.2018, 18.6.2018, 21.6.2018, 13.7.2018

ORDER

This is a Joint Application filed by the applicant companies namelyIMS HEALTH TECHNOLOGY SOLUTIONS INDIA PRIVATE LIMITED(Applicant Company No.1/ Transferor Company)and IMS HEALTH ANALYTICS SERVICES PRIVATE LIMITED (Applicant Company No.2/ Transferee Company)under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to

1. Dispense withthe meeting of Equity Shareholders of the Applicant Company No.1 and dispense with the meeting of the Equity and Preference Shareholders of the Applicant Company No.2 under Section 230 of the Companies Act, 2013; or alternatively, if the Applicant's prayer for dispensation of the said meeting is rejected, direct that the meeting of the Equity and Preference Shareholders of the Applicant Companies be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointed for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting; and pass orders dispensing with publication of notice of meeting in the newspapers, if said meeting is not convened;

2. Dispense with the meeting of the Creditors of the Applicant Company No.1 and Applicant Company No.2 under Section 230 of the Companies Act, 2013; or alternatively, if the Applicant's prayer for dispensation of the said meeting is rejected, direct that the meeting of the Unsecured Creditors of the Applicant Companies be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointed for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting; and pass orders dispensing with publication of notice of meeting in the newspapers, if said meeting is not convened.

The averments made in the Company Application are briefly described hereunder:-

This Application is filed on behalf of the applicant companies stating that the Applicant Company No.1/Transferor Company was incorporated on 25th February, 2004 under the name and style ofDendrite Software India Private Limited with Registrar of Companies, Karnataka having CIN No.U72200KA2004FTC033439. Subsequently on 16th July, 2007 the name of the company was changed to Cegedim Software India Private Limited.Again on 29th August, 2015 the name of the company was changed to IMS Health Technology Solutions India Private Limited.. The Registered office of the Transferor Company is situated at Omega, Embassy Techsquare, Marathahalli, Sarjapur Outer Ring Road, Kadubeesanahalli, Bangalore-560103.

The main objects of the Applicant Company No.1/Transferor Companyis to carry on the business in India and abroad of design, development, manufacture, researching, making, assembling, purchasing, selling, licensing products, importing, exporting, servicing and maintenance of system and application software, information systems, electronic hardware components and peripherals and products for various platforms, products, technologies, software turnkey projects, software consultancy projects. The copy of Memorandum and Articles of Association of the Transferor Company is shown as **Annexure-A**.

The latest authorised share capital of the Applicant Company No.1/TransferorCompanyis Rs.50,00,000/- divided into 5,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs.36,14,210/- divided into 3,61,421Equity Shares of Rs.10/- each. The Audited balance sheet as on 31stMarch, 2017is shown as **Annexure-B**.

It is further stated that Applicant Company No.2/ Transferee Company was incorporated on 2nd December, 2003under the name and style of Pharmarc Analytic Solutions Private Limited with Registrar of Companies, Karnataka. Subsequently on 5th September, 2013 the name of the company was changed to IMS Health Analytics Services Private Limited vide CIN No.U74140KA2003PTC032950. The Registered office of the Transferee Companyis situated atOmega, Embassy Techsquare, MarathahalliSarjapur Outer Ring Road, Kadubeesanahalli, Bangalore-560103.

The main objects of the Transferee Companyare toundertake, conduct, prepare and provide services relating to collection, entry, processing, management and analysis of market and business-related data, report writing, presentation development, software development, publishing and distribution services, business intelligence and strategic consulting services including industry analysis, market assessment, research design, qualitative research techniques, data collection, competitive intelligence, sales force planning and optimization, pricing, economics, medical communications, pricing, revenue forecasting, valuation, licensing and related topics.The copy of Memorandum and Articles of Association of the TransfereeCompany is shown as **Annexure-C**.

The latest authorised capital of the Transferee Company is Rs.1,09,00,00,000/- divided into 18,00,000 equity shares of Rs.10/- each and 10,72,000 Preference Shares of Rs.1,000/- each. The issued, subscribed and paid-up capital is Rs.1,08,73,58,180/- divided into 17,89,418 equity shares of Rs.10/- each and 10,69,464 Preference Shares of Rs.1000/- each. The Audited balance sheet as on 31st March, 2017is shown as **Annexure-D.**

It is further stated that, the Board of Directors of the Transferor Company and Transferee Company have approved and adopted a Scheme of Amalgamation at theirmeetings held on 7th May, 2018 respectivelyby virtue of whichIMS Health Technology Solutions India Private Limited(Applicant Company No.1/ Transferor Company) is proposed to be merged with IMS Health Analytics Services Private Limited (Applicant Company No.2/ Transferee Company)subject to confirmation. Copies of the Board Resolution of Transferor and Transferee Company dated7th May, 2018approving and adopting the Scheme of Amalgamation are shown as **Annexure-E& F**.

It is further averred in the scheme that the Board of Directors of theTransferor Company and Transferee Company are of the opinion that the amalgamation would result in following benefits:

1. Simplified Shareholding Structure
2. Optimal utilization of existing resources through consolidation of operations into a single legal entity.
3. Provide an opportunity to leverage and pool skilled and experienced manpower of the respective companies.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Company has certifiedthe number of Shareholders of Applicant Company No.1 as on 8th May, 2018. There are two equity shareholders. Certificate issued by the Chartered Account is shown as **Annexure-H.**

It is further stated that there are no Secured Creditors in Applicant Company No.1/ Transferor Companyas certified by the Chartered Accountant. The Certificate of Chartered Accountant certifying the list of Secured Creditors isshown as **Annexure-K.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Companyhas certified that there are 16 Unsecured Creditors as on 20th April, 2018inApplicant Company No.1/ Transferor Companyshown as **Annexure-K.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferee Companyhas certified the number of Unsecured Creditors of Applicant Company No.1 as on 8th May, 2018. There are twoequity shareholders and two preference shareholders in the Applicant Company No.2/Transferee Company. The Certificate of the Chartered Accountant certifying the list of shareholders isshown as **Annexure-J.**

It is further stated that there no Secured Creditors in Applicant Company No.2/Transferee Companyas certified by the Chartered Accountant. The Certificate of Chartered Accountant certifying the list of Secured Creditors isshown as **Annexure-L.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferee Companyhas certified that there are 90Unsecured Creditors as on 20th April, 2018inthe Applicant Company No.2/Transferee Company. The Certificate of Chartered Accountant certifying the list of Unsecured Creditors isshown as **Annexure-L.**

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.1/Transferor Company filed along with memo dated 8th June, 2018 i.e., (i) CDS Centre

De Services holding 1 equity share, constituting 0.0003% of the paid-up capital,(ii) IQVIA Solutions Regional Pte. Ltd holding 3,61,420 equity shares, constituting 99.99% of the paid-up capital.

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.2/Transferee Company filed along with memo dated 8th June, 2018 i.e., (i) IQVIA AG, Switzerland holding 17,89,417 equity shares, constituting 99.99% of the paid-up capital,(ii) Interstatistik AG, Switzerland holding 1 equity share, constituting 0.01% of the paid-up capital.

We have seen the consent affidavits of the Two Preference shareholders of Applicant No.2/Transferee Company filed along with memo dated 8th June, 2018 i.e., (i) Rx India, Corporation USA (presently known as RX India LLC Connecticut) holding 10,69,462Preference shares, constituting 99.99% of the paid-up capital,(ii) IMS Health India Holding Corporation, USA (presently known as IQVIA Corp Connecticut) holding 2 Preference shares, constituting 0.01% of the paid-up capital.

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company No.1/ Transferor Company is Rs.5,05,55,103/- and 94% of the unsecured creditors representing value of Rs.4,76,28,000/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors filed along with memo dated 8th June, 2018.

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company No.2/Transferee Company is Rs.3,27,68,64,981/- and 97% of the unsecured creditors representing value of Rs.3,17,88,14,356/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors filed along with memo dated 8th June, 2018.

The Applicant Companies are seeking an order to dispense with convening of meetings ofEquity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 and Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of Applicant Company No.2 on the ground that, there are two Equity shareholders, No Secured Creditors and 16 Unsecured Creditors in Applicant Company No.1 and two Equity Shareholders, two Preference Shareholders, No Secured Creditors and 90 Unsecured Creditors in Applicant Company No.2 and all the Equity shareholders and 94% Unsecured creditors of the Applicant Company No.1 and all the Equity shareholders, all

Preference Shareholdersand 97% value of Unsecured Creditors ofApplicant Company No.2 have given their consent by way of affidavits for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Companies. The Application is filed by the Applicant Companies which is a Transferee Company and Transferor Companyfor dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 and Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of Applicant Company No.2 for approving the Scheme of Amalgamation ofIMS Health Technology Solutions Private Limited(Applicant Company No.1/ Transferor Company) which is proposed to be merged with IMS Health Analytics Services Private Limited (Applicant Company No.2/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-G**.

In the result, the application is disposed of with the following directions- (a) Holding of meeting of the Equity Shareholders and Unsecured Creditors is dispensed with of the Applicant Company No.1; (b) Holding of meeting of Equity Shareholders, Preference Shareholders and Unsecured Creditors is dispensed with of the Applicant Company No.2.

In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Sirisha